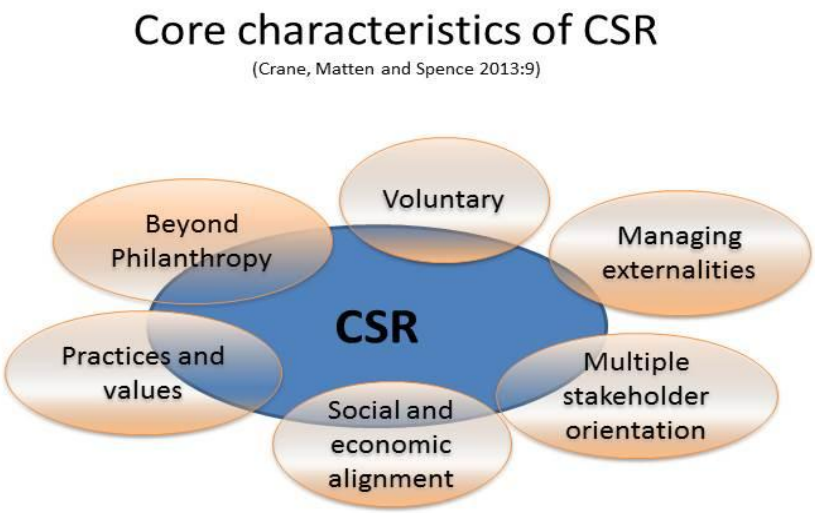
2. CORPORATE SOCIAL RESPONSIBILITY IN GERMANY

A. Definition

CSR: Responsibility of companies outside the business field.



CSR in Germany
CSR in Germany is understood as the responsibility of companies for the impact on society, the environment and the economy. It encompasses fair business practices, employee-oriented policies, sustainable resource use, environmental protection, and an gagement in local communities including responsibilities in supply chains.

Features:

- -Few German companies in international ethical/CSR rankings
- -Limited philanthropy
- -Western European tradition of care and welfare

Distinctive CSR approaches are based on historically grown institutional frameworks that shape national business systems

Key areas: History, political system, financial systems, education and labour, culture

Dichotomy: explicit –implicit

Explicit CSR	Implicit CSR
Consists of voluntary corporate policies, programs,and strategies	Consists of values, norms, and rules that result in (often codified and mandatory) requirements for corporations
Incentives and opportunities are motivated by the perceived expectations of different stakeholders of the corporation	Motivated by the societal consensus on the legitimate expectations of the roles and contributions of all major groups in society, including corporations

Source: D. Matten & J.Moon: 'Implicit' and 'Explicit' CSR: A Conceptual Framework for a Comparative Understanding of Corporate Social Responsibility
Academy of Management Review Vol. 33, No. 2. 2008

B. CSR in Germany is..

1...implicitly caring

Based on a comprehensive legal framework with companies perceived as corporate citizens

Art 14. German constitution:
"Property entails obligations. Its use shall also serve the public good."
Social Market Economy:
- comprehensive market regulations
- strong focus on welfare and distributive justice
- relatively high taxation

-fresh start after WWII based on lessons from history (role of industry in connection with Hitler regime)
-strong well-organized working-class with political orientation
-strong historic reason to secure freedom and welfare
- strong post-materialist ecology movement with political representation (Green Party)

Areas:

1. Employee Welfare: Comprehensive compulsory insurance systems partly based on funding from business:
health, pensions, unemployment, accident, nursing care
- Comprehensive employee protection laws:
-working hours and holidays
-dismissals and redundancies
-health and safety

Finance

The Guardian Weekly 26.09.14 17

Germany considers law to combat work-related stress

Mobiles and email keep employees on call and encroach on private life

Philip Oltermann Berlin

The continent of siestas and vacances, Europe used to pride itself on its healthy work-life balance. But as surveys show that increasing numbers of Europeans struggle to stop work encroaching on their private lives, governments are pondering whether the state should do more to protect workers from stress.

Unions have repeatedly raised concerns that the advent of smartphones and email have resulted in a workforce always on call. In several countries, including Austria, Denmark and the

Fahimi, the secretary general of the Social Democrats, said "a reliable end to the working day is a human right", while the head of German health insurance company Barmer said a law could "protect our health from permanent stress by setting clear standards".

According to a recent study by a psychotherapists' body, psychological illness is to blame for 14% of missed working days in Germany - a 50% increase over 12 years. Every second early retirement is caused by psychological illnesses.

Meanwhile, the OECD's better living index from 2010 showed that people across Europe were finding it harder to stop their work life from encroaching on their private life.

Critics of the anti-stress law proposal say European workers are already protected by existing legisla-

2. Ethical Business Conduct:
Human rights compliance
Consumer protection
Comprehensive tenant protection legislation

Federal Constitutional Court: The Climate Change Ruling

On April 29, 2021, the Federal Constitutional Court issued a landmark decision. The Court ruled that the 2019 German Federal Climate Change Act was partially unconstitutional, finding that its provisions for climate targets and annual emission limits until 2030 were incompatible with the fundamental freedom rights of the plaintiffs. The Court required the German legislature to amend the law to include more specific provisions for reducing CO2 emissions beyond 2030. This decision has already influenced legislation and is expected to have a profound impact on German climate policy and related industries.

Example: Planning Approval procedure

Planning approval is a structured administrative procedure that deals with the approval of certain - usually spatially

significant and in the public interest - projects. It concerns major infrastructure projects such as roads, trams, railways, cable cars, aerodromes, landfills, power lines or bodies of water. All groups affected by the plan have a formal right to be involved in the procedure. A lot of issues arise from environmental concerns.

2…integrated in international organizations and efforts

UN Sustainability Agenda 2030 Goals

In 2015, the member states of the United Nations defined 17 global sustainability goals, the Sustainable Development Goals (SDGs), in their 2030 Agenda. Germany has pledged to implement these 17 sustainability goals in its own country and to help other countries do the same. On 10 March 2021, the Federal Cabinet adopted the further development of the German Sustainable Development Strategy. It focuses on six major areas of transformation in which there is an even greater need for action: human well-being and capabilities, social justice, energy transition and climate protection, circular economy, sustainable construction and transport transition, sustainable agricultural and food systems and a pollution-free environment. (*Source: German Federal Government*)

Overall target: climate neutrality by 2050

3…extensively regulated

Target: Strong Reduction of Greenhouse Gas Emissions
Germany's climate targets are set out in the Federal Climate Protection Act. By 2030, greenhouse gas emissions are to be reduced by at least 65% compared to 1990 levels, and by at least 88% by 2040. Germany aims to be greenhouse gas neutral by 2045. This aim has been included in the Basic Law!
Examples:

- building insulation requirements
- heating CO2 requirements
- emissions control & pricing

Target:

- Human Rights protection

German Supply Chain Due Diligence Act for companies above 1,000 employees
The National Action Plan for Business and Human Rights serves to enshrine the human rights due diligence of all companies along global supply and value chains in a fixed framework. The Supply Chain Due Diligence Act, which came into force in January 2023, is the first binding regulation of German companies' responsibility to respect human rights and environmental protection in all levels of global supply chains.
Scope: Dependent on impact
Obligations: Internal Human Rights-related risk management system with appropriate measures
Implementation of human rights strategy with avoidance, prevention & remediation with liability to legal action.
Previous targets: Amazon, Ikea, Rewe, Edeka)

Documentation requirements:

-detailed
-comprehensive
-certified

4...implicitly co-operative

Strong, legislation-based stakeholder participation
'Sozialpartnerschaft' industrial relations
Businesses understood as social institutions in a complex, but firm relationship with society.

Influences

Lesson from history: social cohesion and stability through conflict prevention
Consensus through participation
Economic success

Examples

-Works Constitution legislation
-co-determination
-works councils with legally defined competencies funded by employers
-free collective bargaining a constitutional principle

5...a Marketing tool

CSR may serve as a differentiator appealing to specific market segments:'ethical consumers' with strong sustainability focus
General commitment to CSR is often sufficient, but critical reports may be damaging the brand image, strongly influenced by advanced ecological awareness and free, critical press. Companies are deemed responsible, with proactive consumer involvement/impact through purchasing, making brand credibility crucial, Shopping with a conscience is a matter of principle.

Influences

-high GDP per person,
-affluent, socially stable well-educated classes: post-materialist orientations

FAIRTRADE
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Target group Example
Liberal –intellectual milieu (approx. 10% =. 6 Mio)

Liberal educational bourgeois and modern functional elite with post-materialistic orientation. High importance of self-realization at work and in leisure time. Rejection of outer values (but appreciate exclusive, very selected items).A flat in a dignified old building in historical residential areas (e.g. 'Jugendstil'), a cultivated lifestyle, and a donation to Amnesty International at the end of the year. Upper Liberals like it when things are cultivated and social at the same time.

Important: Look after themselves and the world, sense of social justice, ecological and political correctness. Source: SIGMA Market Research

6…frequently invisible

CSR is comprehensively institutionalized in large companies.
But a challenge for SMEs
SME: below 500 employees, less than €50m annual turnover
-frequently family-run

Personal example: Local supermarket
-focus on regional suppliers
-donation schemes for local organizations
-selling supply packages for needy citizens
-information for residents

Examples
A. Community focus:
-informal community-based philanthropy
-employee-focus beyond compliance
highly personalized, informal, outside the limelight
lack of structures, limited research & resources

B. Supplier focus
- CSR pressure from corporations on SME suppliers
  Example: Supplier code of conduct.

The Voluntary Sustainability Standard for SME (VSME) provides practice-orientated basis for sustainability reporting by unlisted SMEs. Although its application is voluntary, SMEs benefit in particular if they act as suppliers to companies that are obliged to report in accordance with the Corporate Sustainability Reporting Directive (CSRD). The VSME standard enables these. companies to fulfil sustainability standards, increase their competitiveness and create transparency for business partners and investors.

KEYNOTE 2: A strong implicit CSR orientation and practice

CSR in Germany: Aspects
- Business-driven: a developed, affluent market with demanding customer segments
- Politics-driven: implicit, integrative and caring, based on a strong value-based state responsibilities within the EU context

Influences on
- Corporate strategy
- Legal requirements
- The role of German companies in the global market

VOCAB 2

freiwillig	voluntary
Werte	values
-e Verantwortung	responsibility
-r Rahmen	framework
verpflichtend	mandatory
-r Beitrag	contribution
umfassend	comprehensive
-e Lieferkette	supply chain
-e Konfliktvermeidung	conflict prevention
-r Umsatz	turnover
-r Wohlstand	affluence
-e gesetzliche Anforderung	legal requirement